CHARTERED ACCOUNTANTS ACADEMY

AUDITING DEPARTMENT

CERTIFICATE OF THEORY IN ACCOUNTING

STUDY UNIT 6 – PLANNING THE AUDIT PHASE 1

TABLE OF CONTENTS **PAGE**

Contents

1. INTRODUCTION 162
2. Objective of Planning the audit (phase 1) 162
3. Scope 162
4. Study material 163
5. Competence Framework expectation 163
6. Examination possibilities 164
7. Assumed Knowledge 164
8. Integration 164
9. Course Notes 164

9.1. Introduction: The Role and Timing of Planning – ISA 300 par 2 164

9.2. Overview of planning activities: 165

9.3. Stage 1: Obtaining an understanding of the client's business and industry. 165

9.4. Stage 2: Obtain an understanding of the client's systems of the client's systems and control environment. 166

9.6. Business risks in the computerised environment 169

9.7. Identifying audit risks 170

10. RISK AT THE OVERALL FINANCIAL STATEMENT LEVEL – ISA 315 par 25 (A118-121) 170

10.1. Inherent risks at the overall financial statement level: 170

10.2. Control risks at the overall financial statement level: 171

10.3. Detection risks at the overall financial statement level: 171

10.4. Risk at the assertion level – ISA 315 par 25b (A122 – 126) 171

10.5. Answering Audit risk questions: 173

10.6. Answering Risk of material misstatements questions: 173

10.7. Audit risks in a computerised environment 174

10.8. Significant Risks – ISA 315 par 28 (A132- - 139) 176

10.9. Step 4: Determining audit strategy and audit plan 176

10.10. Audit Strategy 177

10.11. Audit plan 178

10.12. Stage 5: Materiality in planning and performing an audit 182

10.12.1. Calculating materiality: 183

11. ISA 240: THE AUDITOR'S RESPONSIBILITIES RELATING TO FRAUD IN AN AUDIT OF FINANCIAL STATEMENTS 185

11.1. What is fraud? (Par 11a) 185

11.2. Fraud Responsibilities. 185

11.4. Communications to Management and with those charged with Governance (Par 40 – 42) 187

11.5. Communications with Regulatory and Enforcement Authorities (Par 43)..... 188

12. ISA 250: CONSIDERATION OF LAWS AND REGULATIONS IN AN AUDIT OF FINANCIAL STATEMENTS 189

Audit evidence gathering stage: 190

13. ISA 260 (Revised): COMMUNICATION WITH THOSE CHARGED WITH GOVERNANCE 191

Key Definitions (par 10)..... 192

Matters to be communicated to those charged with governance (par 14 – 17): 193

QUESTION ON PLANNING – RISK ASSESSMENT 195

1. INTRODUCTION

Planning an audit of the financial statements forms the second phase of the audit process. Planning an audit involves establishing the overall audit strategy for the engagement and developing an audit plan. Adequate planning benefits the audit financial of financial statements in several ways.

For ease of discussion, the basic concepts that will be addressed are as follows:

a) Obtaining an understanding of the entity and its environment.
b) Identifying and assessing of risks of material misstatement at the financial statement level in terms of ISA 315R.
c) Identifying and assessing of risks of material misstatement at the assertion level in terms of ISA 315R.
d) Materiality in planning and performing an audit.
e) Determine the audit strategy and approach, and document these in the audit plan and programme;
f) Auditors consideration of laws and regulations in performing an audit;
g) Auditors responsibility with regards fraud;
h) Communicating with those charged with governance.

2. Objective of Planning the audit (phase 1)

After the completion of this study unit, you should be able to:

- explain how the auditor can obtain an understanding of an entity and it's environment;
- identify and assess the risks of material misstatements through understanding the entity and its environment;
- identify the risk indicator from the scenario and describe the audit risks/risks of material misstatement;
- identify and explain new terms as per ISA 315R including the sources of information to use when identifying and assessing risk of material misstatements;
- provide a response to the identified risks of material misstatements at the overall financial statement level and assertion level;
- know the difference between an audit plan and audit strategy and discuss the details dealt with in the audit plan and audit strategy;
- calculate planning materiality and apply planning materiality calculated to a given scenario;
- discuss the auditors' responsibilities with regards fraud and laws and regulations.

3. Scope

ISA 200: Overall objectives of the independent auditor and the conduct of an audit in accordance with International Standards on Auditing.

ISA 240: The auditor's responsibilities relating to fraud in an audit of financial statements.

ISA 250: Consideration of laws and Regulations in an audit of financial statements.

ISA 260: Communicating with those charged with governance.

ISA 265: Communicating deficiencies in internal control to those charged with governance and management.

ISA 300: Planning an audit of financial statements.

ISA 315R: Identifying and assessing the risks of material misstatement.

4. Study material

- International Standards of Auditing (Part 1)
- CAA Applied Auditing and Governance AUD 401/2 Module 1 & 2

5. Competence Framework expectation

IV-2.4 Assesses materiality for the engagement (Level I)

Identifies the users of the assurance engagement and their decision-making needs

Identifies the factors that affect materiality

Determines the materiality level for planning and performing the engagement

IV-2.5 Identifies and assesses the key risks in the performance of the engagement (Level X)

Undertakes risk assessment procedures to obtain / update an understanding of the entity and its environment, including its internal controls

Based on the understanding, identifies the specific risks that could result in material misstatement of the subject matter, including fraud risk factors

Assesses the risk of material misstatement in the subject matter at the overall and assertion levels

IV-2.6 Designs effective and efficient procedures based on the engagement's scope and the assessed risks (Level X)

For a given set of circumstances, decides on –

the form, extent and quality of evidence required to support the assurance report

- the most efficient testing procedures (e.g., tests of control and/or substantive tests of detail / analytical procedures) to obtain the evidence
- the need to make use of others (experts, internal auditors, other auditors) or the need to use computer assisted audit techniques to gather evidence
- Communicates the plan to appropriate key stakeholders (including those charged with governance)
- Designs and documents appropriate programmes of engagement procedures based on the above considerations

- Is alert to changes in circumstances not considered in the design of the engagement procedures and adjusts the procedures appropriately

6. Examination possibilities

- Can be examined by asking the students to carry out the procedures
- Students can be required to review work that has already been prepared.
- Can be required to calculate materiality or review calculated materiality

7. Assumed Knowledge

The following is assumed knowledge which you should already have at CTA level.

1. IFRS knowledge for topics covered in the first semester in Financial Reporting.
2. Knowledge of business cycles
3. An understanding of internal controls
4. An understanding of auditing risks

8. Integration

This topic can be integrated with any topic in auditing

9. Course Notes

9.1. Introduction: The Role and Timing of Planning – ISA 300 par 2

The benefits of planning the audit of financial statements include the following:

- Helping the auditor to devote appropriate attention to important areas of the audit.
- Helping the auditor identify and resolve potential problems on a timely basis.

- Helping the auditor properly organize and manage the audit engagement so that it is performed in an effective and efficient manner.
- Assisting in the selection of engagement team members with appropriate levels of capabilities and competence to respond to anticipated risks, and the proper assignment of work to them.
- Facilitating the direction and supervision of engagement team members and the review of their work.
- Assisting, where applicable, in coordination of work done by auditors of components and experts.

9.2. Overview of planning activities:

- Obtaining an understanding of the client's business and industry.
- Obtain an understanding of the client's systems of the client's systems and control environment.
- Identifying and assessing the risks of material misstatements through understanding the entity and its environment.
- Determine the audit strategy and approach, and document these in the audit plan and programme.
- Set planning materiality.

Key Areas of Focus:

9.3. Stage 1: Obtaining an Understanding of the Entity and Its Environment, the Applicable Financial Reporting Framework and the Entity's System of Internal Control.

The auditor should obtain this understanding to be able to identify and assess the risks of material misstatement whether due to fraud or error, at the financial statement level and assertion level. The auditor may perform the following procedures in order to obtain an understanding of the client's business and industry:

- ❖ Discussion with client management
- ❖ Inspection of prior years' financial statements
- ❖ With the permission of the client discussions with predecessor auditors.
- ❖ Enquiries with regulators where applicable.
- ❖ Inspection of publications about the client.
- ❖ Audit team planning meetings where the team discusses information of the client's business and industry.

Reasons for obtaining an understanding of the entity and its business model	▪ Risks associated with specific industries ▪ Inherent risks common to all clients in certain industries ▪ Unique accounting requirements

including the applicable Financial Reporting Framework (Para. A50–A55)	
Factors the auditor should understand – ISA 315R par 19 – 20.	▪ Major sources of revenue ▪ Key customers and suppliers ▪ Sources of financing ▪ Information about related parties ▪ Legal and regulatory environment ▪ Governance structures ▪ Client objectives and strategies ▪ New business developments ▪ Key performance indicators ▪ The entity's selection and application of accounting policies

9.4. Stage 2: Obtain an understanding of the client's systems of the client's systems and control environment.

This section will be evaluated in detail in the **Part H** of this tutorial pack.

Stage 3: Identifying and assessing the risks of material misstatements through understanding the entity and its environment. – ISA 315R.para 13 – 18.

In identifying and assessing the audit risks the auditor shall perform risk assessment procedures to provide a basis for the identification and assessment of the risks of material misstatement at the financial statement and assertion levels. The risk assessment procedures shall include the following (ISA 315R.par 13 – 16):

- Analytical procedures (ISA 315R.par A27 – A31).
  - These may assist the auditor in identifying aspects of the entity of which the auditor was unaware and the analytical procedures may include analysis of both financial and non-financial information, for example, the relationship between staff costs and number of employees.
- Inquiries of management, of appropriate individuals within the internal audit function, and of others within the entity (ISA 315R.par A22 – A26). Such examples include but not limited to:
  - Inquiries directed towards those charged with governance may help the auditor understand the extent of oversight by those charged with governance over the preparation of the financial statements by management.
  - Inquiries of employees responsible for initiating, processing or recording complex or unusual transactions may help the auditor to evaluate the appropriateness of the selection and application of certain accounting policies.

- Inquiries directed towards in-house legal counsel may provide information about such matters as litigation, compliance with laws and regulations, knowledge of fraud or suspected fraud affecting the entity, warranties, post-sales obligations, arrangements (such as joint ventures) with business partners, and the meaning of contractual terms.
- Inquiries directed towards marketing or sales personnel may provide information about changes in the entity's marketing strategies, sales trends, or contractual arrangements with its customers.
- Inquiries directed towards the risk management function (or inquiries of those performing such roles) may provide information about operational and regulatory risks that may affect financial reporting.
- Inquiries directed towards IT personnel may provide information about system changes, system or control failures, or other IT-related risks.If the entity has an internal audit function, inquiries of the appropriate individuals within the function may assist the auditor in understanding the entity and its environment, and the entity's system of internal control, in the identification and assessment of risks (ISA 315R Appendix 4: Considerations for Understanding an Entity's Internal Audit Function).
-

❖ Observation and inspection (ISA 315R.par A32 – A36). Examples of such audit procedures include observation or inspection of the following:

- The entity's operations;
- Documents, records and internal control manuals;
- Reports prepared by management and those charged with governance e.g. minutes of meetings; quarterly management reports;
- The entity's premises and plant facilities;
- Information obtained from external sources such as trade and economic journals; reports by analysts, banks, or rating agencies; regulatory or financial publications; or other external documents about the entity's financial performance;
- The behaviors and actions of management or those charged with governance (such as the observation of an audit committee meeting).

❖ **Information from Other Sources** – when carrying out the risk assessment the auditor must consider information from other sources (ISA 315R.para 15 – 16).

- The auditor's procedures regarding acceptance or continuance of the client relationship or the audit engagement (Ref: Para. A38) e.g.;
  - ✓ The auditor's procedures regarding acceptance or continuance of the client relationship or the audit engagement in accordance with ISA 220, including the conclusions reached thereon.
  - ✓ Other engagements performed for the entity by the engagement partner such as agreed-upon procedures engagements or other audit or assurance

engagements, including engagements to address incremental reporting requirements in the jurisdiction

- The auditor's previous experience with the entity and audit procedures performed in previous audits may provide the auditor with information about such matters as: (Ref: Para. A38–A39).
  - ✓ Past misstatements and whether they were corrected on a timely basis.
  - ✓ The nature of the entity and its environment, and the entity's system of internal control (including control deficiencies).
  - ✓ Significant changes that the entity or its operations may have undergone since the prior financial period.
  - ✓ Those particular types of transactions and other events or account balances (and related disclosures) where the auditor experienced difficulty in performing the necessary audit procedures, for example, due to their complexity.

❖ **Engagement Team Discussion (Ref: ISA 315 Para. 17–18)** – the Engagement Team Is Required to Discuss the Application of the Applicable Financial Reporting Framework and the Susceptibility of the Entity's Financial Statements to Material Misstatement.

❖ **Professional skepticism (Ref: ISA 315R Para. A43)** – it is necessary for the critical assessment of audit evidence, and a robust and open engagement team discussion, including for recurring audits, may lead to improved identification and assessment of the risks of material misstatement.

- Another outcome from the discussion may be that the auditor identifies specific areas of the audit for which exercising professional skepticism may be particularly important and may lead to the involvement of more experienced members of the engagement team who are appropriately skilled to be involved in the performance of audit procedures related to those areas.

EXAM TECHNIQUE	**It is important to understand the difference between the following definitions relating to risks. Please refer to the glossary of terms included in the SAICA Handbook, Volume 2, Auditing for a definition of the following terms:** **1. Audit risk** **2. Business risk** **3. Risk of material misstatement** **4. Detection risk** **5. Control risk** **6. Inherent risk and inherent risk factors** **7. Significant risk** **8. Relevant assertions** **9. professional skepticism.**

9.5. Identifying business risks

Business risk refers to all risks which could result in loss or harm to the business. When identifying business risks, the following thought process can be used:

1. Identify any threats to the operational internal control objectives apparent from the scenario. This would require you to state what could go wrong to prevent the following objectives from being achieved
    - Safeguarding of assets (avoiding theft, damage and loss)
    - Economy of operations (minimising costs)
    - Efficiency of operations (minimising use of resources, such as time)
    - Effectiveness of operations (achieving the businesses' long-term strategy
    - Availability and sustainability of operations
    - Compliance with legislation (be specific regarding the legislation which could be breached.
2. Identify any strategic threats to the business. In doing so it may be useful to think of the following:
    - PESTEL analysis (Political, Economic, Social, Technological, Environmental and Legal analysis)
    - SWOT analysis
    - Porter's Five Forces analysis
3. Identify any issues in the scenario that would suggest a risk of fraud and error in the financial statements.

    Exam tip!!!!!

9.6. Business risks in the computerised environment

Risks related to access:

- Deliberate attacks by hackers, resulting in system down-time and reputational damage;
- Unauthorised use of company data, resulting in reduced competitiveness or reputational damage;
- Breach of client confidentiality (through theft of credit card details etc.), resulting in reputational damage; and
- Operations could be negatively affected by viruses resulting in lost profits.

Operating risks:

- The inability of the system to cope with volumes could result in poor customer service;
- Non-compliance with software licence conditions may result in penalties and lost profits;
- Loss of control where third parties (service providers, bureau) are involved; and

You should always aim to make your solutions as specific as possible to the scenario and link risks to possible financial loss or reduced profits. APPLY your risks to the scenario – leave out generic risks

- Cost of complex systems may outweigh the benefits.

9.7. Identifying audit risks

There are two types of audit risks:

i. Risks at the overall financial statement level; and
ii. Risks at the assertion level.

Different approaches are required for identifying the two types of risk.

Exam tip!!!!

10. RISK AT THE OVERALL FINANCIAL STATEMENT LEVEL – ISA 315R par 28 (A184-A229)

Risks of material misstatements at the financial statements level refer to risks that relate pervasively to the financial statements as a whole and potentially affect many assertions, for example, are those that could affect multiple account balances or transactions. These can be summarised as follows:

10.1. Inherent risks at the overall financial statement level:

- Risk of fraud (See ISA 240 Appendix 1 for examples)
- Risk of error (evidenced by incompetent staff, reliance on technology, short-staffing, having multiple locations etc.)
- Risk that the going concern assumption is not appropriate (See ISA 570: A2 for examples)
- Risk of non-compliance with legislation (dependent on the type of company involved – identify the legislation that they would be expected to comply with)
- Risk of non-compliance with IFRS (evidenced by complex accounting requirements such as consolidation of a foreign subsidiary)

Audit risk is a function of the risks of material misstatement (inherent risk and control risk) and detection risk.
If you are required to describe the risks of material misstatement you will not discuss the detection risk.

❖ The auditor also takes into the account the relative effects of inherent risk factors when assessing inherent risk (Refer ISA 315R para A221). Risks of material misstatement that may be assessed as having higher inherent risk and may therefore be determined to be a significant risk, may arise from matters such as the following:

- Transactions for which there are multiple acceptable accounting treatments such that **subjectivity** is involved.
- Accounting **estimates** that have high estimation uncertainty or complex models.
- **Complexity in data collection and processing** to support account balances.

- Account balances or quantitative disclosures that involve **complex calculations**.
- Accounting principles that may be subject to **differing interpretation**.
- **Changes in the entity's business** that involve changes in accounting, for example, mergers and acquisitions.

10.2. Control risks at the overall financial statement level:

- Risk that the controls are not operating effectively (evidenced by management lack of integrity, management override of controls, obvious control weaknesses, having multiple locations, etc.)

10.3. Detection risks at the overall financial statement level:

- Risk that the auditor will not detect material misstatements (evidenced by tight audit deadlines, engagement being with a new client, etc.)

Exam tip!!!!

NB!!! When describing a risk of material misstatements students should ensure they cover the following key aspects in explaining the risk:

- Explaining the possible effect of the risk on the financial statements i.e. how will the risk result in the possible misstatement of the financial statements:
- Provide reasons why you think the risk exists by using the risk indicators in the scenario.

10.4. Risk at the assertion level – ISA 315R par 25 28 (A1184-A12129)

Audit risks at the assertion level are those risks that affect a *specific balance or transaction*. These risks are those that threaten the assertions that relate to that balance or transaction. They could include risks related to fraud or error (ISA 315R para 190(a)-(b)).

Transactions	**Balance assertions**
Occurrence: Risk that transactions included in the financial statements **do not qualify for recognition in terms of IFRS.**	Existence: Risk that balances included in the financial statements **do not qualify for recognition in terms of IFRS**.
Completeness: Risk that not all the transactions which qualify for recognition in terms of IFRS are included in the financial statements.	Completeness: Risk that not all the balances which qualify for recognition in terms of IFRS are included in the financial statements.
Cut-off Risk that transactions are recorded in the **incorrect period** in terms of IFRS.	Rights and Obligations Risk that client does not have the risks and rewards of ownership for assets or

In some cases, risks at the overall financial statement level will have a direct impact on risks at the assertion level. For example, if there is a risk of fraudulent overstatement of profit or financial position at the overall financial statement level then there will be an automatic risk of individual balances and transactions being fraudulently overstated. Similarly, if there is a risk of error at the overall financial statement then this is likely to have an impact on the accuracy or valuation of individual balances and transactions. Therefore, students should not forget to consider the possible impact of overall financial statement level risks when identifying assertion-level risks.

	obligations for liabilities included in the financial statements.
Accuracy Risk that transactions are recorded at the **incorrect amount** as a result either of using **incorrect inputs** to calculations or **making computational errors.**	Valuation Risk that balances are not valued appropriately **in terms of IFRS**, e.g. inventory not at the lower of cost and net realizable value.
Classification Risk that transactions are incorrectly classified in terms of IFRS, e.g. profit on disposal as revenue.	Presentation and Disclosure Risk that balances are incorrectly classified or disclosed in terms of IFRS, e.g. PPE classified incorrectly as investment property.

Exam tip!!!!!

In wording their risks, students should state both the risk trigger from the scenario and the possible impact on the balance/transaction they are dealing with.

The level of detail and application required when identifying assertion-level risks is perhaps best explained with an example from the revenue cycle:

- Stating that 'there is a risk that revenue will be recorded at the incorrect amount" is not sufficient;
- Instead, a student might state that "*the price charged to customers is calculated using a complex formula (risk trigger) and there is therefore a risk that the incorrect price will be recorded in the financial statements (possible impact)*". This would be sufficient.

Exam tip!!!!!!

10.5. Answering Audit risk questions:

In answering a question on audit risk, you should:

a) Read the required to determine whether you have been asked to identify audit risks at the overall financial statement level, audit risks at the assertion level, or both.

b) If you have been asked to identify assertion-level risks, determine whether you are required to identify risks related to all assertions or only some of them.

> ***In identifying your audit risks, you need to ensure that you cover all elements of audit risk i.e. inherent risks, control risks and detection risks.***

c) Read the scenario to identify any **risk triggers** related to the type of risks you have been required to address in terms of the above.

d) Lay out your solution in the most user-friendly way possible:
   - For overall financial statement level risks, break into risks of fraud, error, going concern, non-compliance with legislation, etc.
   - For assertion-level risks break into risks per assertion.

> ***Note: Students need to be specific in stating assertion-level risks. This requires them to understand the accounting treatment of the balance or transaction in question and to identify from the scenario any threats to the correct implementation of this treatment (risk triggers). Students must also be able to recognise which accounting issues and risk triggers impact which assertions.***

Exam Tip!!!!

10.6. Answering Risk of material misstatements questions:

In answering a question on risks of material misstatements, you should:

a) Read the required to determine whether you have been asked to identify risks of material misstatement at the overall financial statement level, risks of material misstatement at the assertion level, or both.

b) If you have been asked to identify assertion-level risks, determine whether you are required to identify risks related to all assertions or only some of them.

c) Read the scenario to identify any risk triggers related to the type of risks you have been required to address in terms of the above.

d) Lay out your solution in the most user-friendly way possible:
   - For overall financial statement level risks, break into risks of fraud, error, going concern, non-compliance with legislation, etc.
   - For assertion-level risks break into risks per assertion

Exam tip!!!!

10.7. Audit risks in a computerised environment

In answering a question on risks of material misstatements you need to only identify those risks that may result in the misstatement of the financial statements, transaction or account balances, i.e. only identify control risks and inherent risks.

Risks related to access	▪ Uncontrolled access to data leading to duplication, corruption or manipulation of data;

	▪ Uncontrolled access to programmes leading to Unauthorised changes of data; ▪ Unauthorised changes to master files (standing data); ▪ Access through a third party such as a VANS or service provider; ▪ Corruption of data by viruses.
Risks related to electronic transfer of data	▪ Unauthorised access through telephone lines, remote terminals, etc. – This may be affected by weaknesses in network linkages, external service providers, data communications, etc., and could result in duplication, corruption or manipulation of data on transfer from: o Third parties; or o Service providers. ▪ Incomplete transfer of data (data could be destroyed or lost in transfer). ▪ Financial loss resulting from unauthorised or invalid electronic funds transfers.
Staff related risks	▪ Staff may have limited experience on computers; ▪ Segregation of duties may be weaker; and ▪ Supervision is likely to be weaker in an on-line environment.
Risks related to make changes to systems	▪ New systems do not always work properly on inception; ▪ There may be issues related to staff training and experience; and ▪ Balances might be transferred incorrectly from one system to another.
Risks related to processing of transactions	▪ Multiple functions performed by single programmes o Where systems are integrated, individual errors may affect different systems; ▪ System generated transactions o Uniform processing reduces the risk of clerical error; but may increase the risk of consistent error; ▪ Large volumes of transactions processed at high speeds: o The number of transactions and the speed of processing increases the risk of undetected error, and o The inability of a system to cope with the volume of transactions could result in a system's "crash", resulting in the loss or corruption of data; and
Continuity risks	▪ Loss of data resulting in incomplete data
General risks	▪ New systems or changes to systems may not function properly when first introduced, resulting in errors; ▪ Complexity of systems increases the risk of error; ▪ Dependence on controls exercised by a third party (e.g. service provider) increases the risk of fraud and errors; and ▪ Detailed knowledge of the computer system is often known only to a limited number of people resulting in: o Risk of undetected manipulation of data o Going concern risk if key staff leaves.

10.8. Significant Risks – ISA 315R par 32 (A218 - A220)

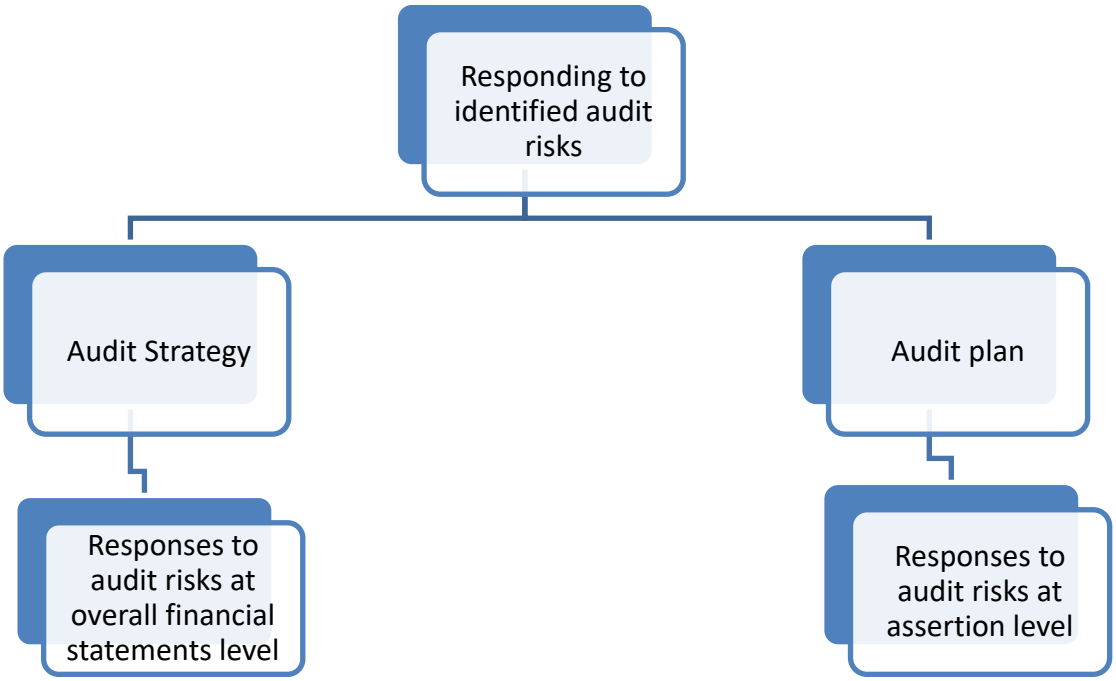
A significant risk is an identified and assessed risk of material misstatement that, in the auditor's judgment, **requires special audit consideration**.

What factors should an auditor consider in identifying significant risks?

a) Whether the risk is a risk of fraud;
b) Whether the risk is related to recent significant economic, accounting or other developments and, therefore, requires specific attention;
c) The complexity of transactions;
d) Whether risks involve non-routing transactions;
e) Whether the risk involves significant transactions with related parties;
f) The degree of subjectivity in the measurement of financial information related to the risk, especially those measurements involving a wide range of measurement uncertainty; and
g) Whether the risk involves significant transactions that are outside the normal course of business for the entity, or that otherwise appear to be unusual. (Ref: Para. A132–A136).

NB!! For all significant risks identified the auditor is required to obtain an understanding of the controls relevant to that risk. Where management have failed to implement such controls over the identified significant risk that will be an indicator of a significant deficiency in internal controls (refer to ISA 265).

10.9. Step 4: Determining audit strategy and audit plan



10.10. Audit Strategy

Audit strategy - ISA 300 Appendix (Considerations in Establishing the Overall Audit Strategy). **Please read through this very helpful appendix!**

The audit strategy sets out a broad overview of how the audit will be performed at the overall financial statement level. It sets out the **scope, timing and direction of the audit and determines the resources** that will be required by the auditors.

The scope of an audit is the range of activities covered by that audit. Factors that will affect the scope of an audit include:

- Whether the audit is statutory or voluntary audit.
- Whether the client is listed;
- The number of locations and components that need to be audited;
- Whether other auditors will need to be involved (e.g. in a group environment where subsidiaries and parents are audited by different parties);
- Whether the client has an internal audit function that can be relied upon;
- Whether the client uses complex information technology systems; and
- Whether specialist knowledge is required.

Factors that will affect the overall timing of the audit include:

- The company's interim and year-end deadlines;
- The client's availability for meetings;
- The size, complexity and number of locations of the client; and
- The extent and complexity of computerisation at the client.

The direction of an audit is the focus of the audit, e.g. which issues, balances and transactions the auditor will focus on. Factors that will affect the direction of the audit include:

- The significant risks identified during the risk assessment procedures;
- The materiality of different issues, balances and transactions;
- Evidence of management's commitment to a sound system of internal control; and
- Significant business developments and affecting the entity.

Example!!!!

A high risk of material misstatement at the overall financial statement level will have the following impact on the overall audit strategy. Refer to ISA 330 par A1 to A3:	▪ Follow a substantive approach or a combined approach (if there are deficiencies in the control environment). ▪ Perform more tests of detail and less analytical procedures. ▪ Incorporate an element of unpredictability in testing. ▪ Exercise professional scepticism. ▪ Consider the use of an expert. ▪ Perform procedures closer to year-end. ▪ Put less reliance on management representations. ▪ Extend sample sizes. ▪ Engage more experienced staff. ▪ Lower materiality.

10.11. Audit plan

The audit plan sets out how the audit will be performed at the **assertion level.** This involves determining the **nature, timing, and extent** of audit procedures to be carried out per balance or class of transactions. Effectively in the audit plan the auditor will document the audit procedures responsive to the assessed risks of material misstatement at the assertion level.

Nature:

The nature of an audit procedures refers to **its purpose** (that is, test of controls or substantive procedures) **and its type** (that is, inspection, observation, inquiry, confirmation, recalculation or analytical procedures).

The auditor must always do some substantive testing but may choose to place some reliance on a client's internal controls (by testing that these controls are effective). The auditor therefore has the choice of using a **fully substantive approach or a combined approach**. Testing controls is quicker and utilises fewer resources than substantive testing, and auditors will often prefer to use a combined approach if possible.

When determining **the nature** of audit procedures, the auditor must consider the **necessity**, **possibility,** and **desirability** of placing reliance on a client's internal controls and of testing controls.

Placing reliance on controls will be necessary if:	▪ There is a very large volume of transactions; ▪ Transactions are highly complex; ▪ There is no visible audit trail to audit (will need to test general IT controls); or ▪ Transactions are computer-generated (will need to test general IT controls).
Placing reliance on controls will be possible if:	▪ There are controls in place which, if effective, would ensure the integrity of financial information; ▪ The control environment of the client appears to be effective; and ▪ We have the necessary staff and resources to test controls.
Placing reliance on controls will be desirable if	▪ Testing controls will provide a cost-benefit to the audit firm (usually the case); ▪ Testing controls will provide an opportunity to give value-added advice to clients; ▪ Testing controls will provide an opportunity to train staff; ▪ The client has specifically requested the auditor to test control or there is an expectation that they will do so; ▪ Specific control weaknesses were identified in the previous audit and the client has undertaken to amend them; ▪ The auditor needs to audit the corporate governance statement on the effectiveness of internal controls; or ▪ The auditor can rely on previous years' tests of control. This will be the case if: o The control system and personnel have not changed since the last test; o The controls were last tested within the previous three years; o The controls are not over a significant risk; and o Controls were found to be effective during the previous test.

The type of substantive procedure to be carried out will depend on the audit approach to be taken:

Audit Approach	**Nature of substantive procedures**
Combined approach	▪ More of analytical substantive procedures and ▪ Less test of details ▪ More reliance on management representations
Fully substantive approach	▪ More of test of details and ▪ Less of analytical procedures

In discussing the nature of procedures students should also address what work needs to be done in response to specific risks or issues identified in the scenario. See example below:

Risks/issue	**Nature of work to be done**
Management paid performance related bonuses based on the profitability of the company.	Detailed substantive testing to be performed over revenue recognition to address risk of premature revenue recognition to achieve profit targets.

Inventory items imported from Europe	Procedures over the accuracy of exchange rates used to translate inventory imported to be performed.
New system implemented during the year under audit.	Detailed testing to be done over the data migration process to confirm completeness and accuracy of data migration.

Timing

Timing of an audit procedure refers to when it is performed, or the period or date to which the audit evidence applies. The auditor must determine when to perform audit testing on the given balance or transaction. The following considerations will apply:

- If there are tight audit deadlines, roll-forward may be necessary for transactional testing.
- If the client is high-risk, procedures may be done close to the year-end.
- If the client has outsourced its functions the availability of data will impact the timing of procedures.

Extent

Extent of an audit procedure refers to the quantity to be performed, for example, a sample size or the number of observations of a control activity.

The extent of testing will be influenced by the following factors:

- High-risk clients will require extended testing and larger sample sizes.
- If the client's systems change during the year, the auditor may have to test both systems.
- The use of CAATs may enable the auditor to test the whole population.

Exam tip!!!!

> ***When answering questions on the audit plan, students will always be expected to address the issues listed above. However, they could be expected to apply these issues to different elements of the audit plan decision. Each element requires a slightly different treatment.***

Students could be asked to describe the considerations that the auditor would take into account when determining:

1. The audit plan for a specific transaction:
   - In these cases you would be expected to list the standard considerations listed above; However, you would also need to detail the most important procedures you would use (under "nature") in addition to addressing the standard issues dealt with above. **This would include important tests of controls and substantive procedures.**

2. Whether or not to test the general IT controls of a company.
   - In this case, you would list the standard issues dealt with under 'nature' only (i.e. ignore timing and extent);
   - You would also need to add that testing the general IT control will be necessary if reliance is to be placed on automated or manual-dependent controls.

3. Which types of CAATs to use?
   - Systems CAATs tend to be used when testing controls, whereas data CAATS are often used for substantive procedures. Therefore, the nature of procedures will determine which CAATs to use (see risk-response section for more detail).

4. The impact of specific issues on your audit procedures.
   - This would be similar to a specific audit plan question. However, students would not be expected to list detailed procedures.

Guidance to answer questions requiring a discussion of the nature, timing and extent of the procedures required to respond to identified risks.

Nature

a) Indicate that you should obtain an understanding of the system of internal control and that your understanding would need to be documented.
b) State the major risks of material misstatement apparent from the scenario (unless this has already been specifically asked in a different required).

c) Discuss whether a combined approach (including test of control) or wholly substantive approach is more appropriate. This is generally governed by:
    a. The *necessity* to place reliance on controls (e.g. because of substantive procedures alone will not provide sufficient appropriate evidence – e.g. due to the complexity of the accounting system and volume of transactions).
    b. The *possibility* of placing reliance on internal control system (i.e. is the system of internal control sufficient to warrant reliance thereon to prevent or detect and correct material misstatement?)
    c. The *desirability* of relying on the system if internal control (e.g. cost considerations).
d) If a combined approach is planned, a more detailed analysis of the specific controls to be tested is necessary; i.e.
    a. Which key controls will you place reliance on (in response to the major risks)?
    b. How will such reliance be achieved (e.g. use of systems CAATS)?
e) **Discuss what work** needs to be done in response to specific risks or issues apparent from the scenario.

Extent

f) Discuss the effect of the above on your substantive work.
    a. The nature of the substantive work could include a combination of:
        i. Tests of details of transactions;
        ii. Tests of year-end balances; and
        iii. Analytical procedures (always required).
    b. Explain the extent of the above procedures in light of the view taken on the use of test of control.
    c. Impact on the sample sizes and performance materiality in light of the view taken on the use of test of controls.

Timing

g) Describe the timing of audit work, both tests of control and substantive procedures (e.g. the need for roll-forward).
h) Discuss the need to make use of the work of others (e.g. audit specialist, other auditors) if applicable.

10.12. Stage 5: Materiality in planning and performing an audit

Materiality in planning and performing an audit is determined when developing an overall audit strategy.

Study ISA 320 in detail to understand the effect that the determination of materiality in planning and performing the audit will have on conducting and concluding the audit. Know the difference between planning materiality and performance materiality (Refer to ISA 320 par 10-11.)

Please note that the performance materiality calculated will be lower than the planning materiality. This enables the auditor to minimise the risk of expressing an incorrect audit opinion.

There is an inverse relationship between materiality and inherent risk i.e.:

- If inherent risk is assessed as high, a low materiality will be set to compensate for the high inherent risk.
- If inherent risk is assessed as low, a high materiality will be set because there is a smaller chance that a material misstatement will occur.

10.12.1. Calculating materiality:

Step 1:

Determine whether to use the balance sheet figures, the income statement figures or both. This would require you to decide which figures are most significant and which ones the users of the financial statements would find most useful.

- You may wish to use only the balance sheet figures because they are larger or because the bulk of the company's value is in its assets rather than its revenues (e.g. an investment company).
- You may wish to use only the income statement figures because they are larger or because the bulk of the company's value is in its revenue stream rather than in its assets (e.g. a services company).
- In most cases, however, you will conclude that both are significant and useful to users.

Step 2:

Determine whether you should use the actual figures, budgeted figures or prior-year figures**.**

- If it appears that the company will meet its budget – use these figures for the income statement indicators.
- If it does not appear that the company will meet its budget, either use the actual figures (gross up income statement figures), or use prior-year figures.

Key: Explain your reasoning for each of the above steps.

Step 3:

What range should we use? What is the overall risk? See guidance below:

Income statement indicators	
Turnover	0.5% - 1%
Gross profit	1% - 2%
Net profit before tax	5% - 10%
Balance sheet indicators	
Total assets	1% - 2%
Equity	2% - 5%

Step 4:
Based on steps 1-3 above, calculate materiality ranges on the remaining indicators. This will give you a range of possible materiality figures.

Step 5:
Conclude on a specific estimate of materiality and give reasons for your chosen figure.
Note the following:

- Eliminate any obvious outliers.
- Planning materiality is usually conservative and you would therefore usually choose a figure on the lower end of your results.
- Materiality would also be more conservative for a high-risk client. Therefore, if you have identified any risk indicators, set materiality at the lower end of your results.

Materiality should reflect the amount that is likely to affect a user's judgment. This requires some judgment.

Step 6:
Performance materiality: Give the overall materiality level a "hair-cut" and do audit work according to this level.

11. ISA 240: THE AUDITOR'S RESPONSIBILITIES RELATING TO FRAUD IN AN AUDIT OF FINANCIAL STATEMENTS

Introduction

This ISA deals with the auditor's responsibilities relating to fraud in an audit of financial statements. After going through this study unit, you should be able to answer the following questions with regards fraud:

1. **Who has the responsibility for the prevention and detection of fraud;**
2. **What are the auditor's responsibilities relating to fraud?**

11.1. What is fraud? (Par 11a)

Fraud – An intentional act by one or more individuals among management, those charged with governance, employees, or third parties, involving the use of deception to obtain an unjust or illegal advantage. Misstatements in the financial statements can arise **from either fraud or error**. The distinguishing factor between fraud and error is whether the underlying action that results in the misstatement of the financial statements is **intentional or unintentional.**

For the purposes of the ISAs, the auditor is concerned with fraud that causes a material misstatement in the financial statements. Two types of intentional misstatements are relevant to the auditor –

i. Misstatements resulting from fraudulent financial reporting; and
ii. Misstatements resulting from misappropriation of assets.

Although the auditor may suspect or, in rare cases, identify the occurrence of fraud, the auditor **does not make legal determinations** of whether fraud has actually occurred.

11.2. Fraud Responsibilities.

Responsibility for the prevention and detection of fraud (par 4)	The primary responsibility for the prevention and detection of fraud rests with both those charged ***with governance of the entity and management***.
Responsibilities of the Auditor (par 5 – 8)	The auditor is responsible for obtaining reasonable assurance that the financial statements as a whole are free from material misstatements, whether caused ***by fraud*** or error. However due to the inherent limitations of an audit there is an unavoidable risk that some material misstatements arising as a result of fraud may not be detected. Also the risk of the auditor not detecting a material misstatement resulting from management fraud is greater

	than for employee fraud, because management is frequently in a position to directly or indirectly manipulate accounting records, present fraudulent financial information or override control procedures designed to prevent similar frauds by other employees.

In performing an ISA based audit what then are the auditor's objectives in relation to fraud (par 10)

a) To identify and assess the risks of material misstatement of the financial statements due to fraud;
b) To obtain sufficient appropriate audit evidence regarding the assessed risks of material misstatement due to fraud, through designing and implementing appropriate responses; and
c) To respond appropriately to fraud or suspected fraud identified during the audit.

11.3. How does the auditor achieve the above objectives when performing the audit?

Professional skepticism (par 12 – 14)	In accordance with ISA 200, the auditor shall maintain professional skepticism throughout the audit, recognizing the possibility that a material misstatement due to fraud could exist. This requires an ongoing questioning of whether the information and audit evidence obtained suggest that a material misstatement due to fraud may exist.
Discussions amongst the engagement team (par 15)	The engagement team should discuss the susceptibility of the entity's financial statements to material misstatements due to fraud.
Consider potential for management override of controls.	In performing the audit, the auditor should remain alert to information or audit evidence which is indicative of instances of management override of controls.
Recognize that audit procedures to detect error vs. fraud are different.	Fraud due to its nature is more difficult to detect as compared to misstatements arising from error. Therefore, where there are fraud risks factors the auditor will need to design procedures to enable the auditor to detect material misstatements arising from fraud. *For example: Observing inventory at locations where auditor attendance has not been previously announced or counting cash at a particular date on a surprise basis.* *For additional examples of possible audit procedures to address the assessed risks of material misstatements due to fraud, refer to* ***Appendix 2 (ISA 240).***

11.4. Communications to Management and with those charged with Governance (Par 40 – 42)

If the auditor has identified a fraud or has obtained information that indicates that a fraud may exist, the auditor shall communicate these matters on a timely basis to the appropriate level of management or if the auditor has identified or suspect fraud involving:

a) Management;
b) Employees who have significant roles in internal control; or
c) Others where the fraud results in material misstatements in the financial statements,

The auditor shall communicate these matters to those charged with governance on a timely basis.

11.5. Communications with Regulatory and Enforcement Authorities (Par 43)

If the auditor has identified or suspects a fraud, the auditor shall determine whether there is a responsibility to report the occurrence or suspicion to a party outside the entity. Although the auditor's professional duty to maintain the confidentiality of client information may preclude such reporting, the auditor's legal responsibilities may override the duty of confidentiality in some circumstances. *For example, if an auditor is auditing a financial institution registered in terms of the Banking Act Chapter 24:20, they will be required to report an instances of identifies or suspected fraud to the RBZ.*

The auditor may also consider obtaining legal advice to determine the appropriate course of actions to take.

Fraud risk factors

Events or conditions that indicate an **incentive or pressure** to commit fraud or provide an **opportunity** to commit fraud. For examples of fraud risk factor refer to **Appendix 1 (ISA240).**

12. ISA 250: CONSIDERATION OF LAWS AND REGULATIONS IN AN AUDIT OF FINANCIAL STATEMENTS

Introduction

In practice most people believe that it is the auditor's duty to detect any noncompliance with laws and regulations by an entity. ISA 250 therefore deals with the auditor's responsibilities to consider laws and regulations in an audit of financial statements.

ISA 250 Requirements	
Who is responsible for an entity's compliance with laws and regulations? – **par 3**	It is the responsibility of ***management***, with the oversight of those charged with governance, to ensure that the entity's operations are conducted in accordance with the provisions of laws and regulations, including compliance with the provisions of laws and regulations that determine the reported amounts and disclosures in an entity's financial statements.
What is the Auditor's responsibility? **Par 4 - 5**	The auditor is responsible for identifying **material misstatements** arising due to non-compliance with laws and regulations. However, there are inherent limitations of an audit on the auditors ability to detect material misstatements due to the following: ▪ There are many laws and regulations relating to the operating aspects of an entity and do not normally have a direct effect on the financial statements. These laws and regulations are not normally captured by the entity's information systems relevant to financial reporting; ▪ Noncompliance may be intentional and efforts would have been taken to conceal these non-compliances; ▪ Determining a noncompliance is ultimately a matter for legal determination by a court of law.

The auditor's objectives in relation to laws and regulations when performing a financial statements audit. Par 10

a) To obtain sufficient appropriate audit evidence regarding compliance with the provisions of those laws and regulations generally recognized to have a direct effect on the determination of material amounts and disclosures in the financial statements;
b) To perform specified audit procedures to help identify instances of non-compliance with other laws and regulations that may have a material effect on the financial statements; and
c) To respond appropriately to non-compliance or suspected noncompliance with laws and regulations identified during the audit.

At planning stage:

The auditor is required to obtain a general understanding of:

(i) The legal and regulatory framework applicable to the entity and the industry or sector in which the entity operates; and
(ii) How the entity is complying with that framework. (Ref: Para. A7)

Audit evidence gathering stage:

1. The auditor shall obtain sufficient appropriate audit evidence regarding compliance with the provisions of those laws and regulations generally recognized to have a direct effect on the determination of material amounts and disclosures in the financial statements. ***For example, tax laws generally have a direct effect on the financial statements.***

This means that as part of the audit programs specific procedures should be performed in order to confirm compliance with these laws and regulations. Examples of procedures may include:

a. Reconciling VAT liabilities to VAT returns lodged with the tax authorities.
b. Recalculating VAT amounts based on taxable turnover and comparing to amounts recorded in the general ledger.

The procedures above will be designed to enable an auditor to detect material misstatements arising as a result of non-compliances with laws and regulations.

2. In respect of other laws and regulations that do not have a direct effect on the determination of the amounts and disclosures in the financial statements, but compliance with which may be fundamental to the operating aspects of the business, to an entity's ability to continue its business, or to avoid material penalties (for example, compliance with the terms of an operating license, compliance with regulatory solvency requirements, or compliance with environmental regulations), the auditor shall perform the following procedures:

a. Inquiring of management and, where appropriate, those charged with governance, as to whether the entity is in compliance with such laws and regulations; and

b. Inspecting correspondence, if any, with the relevant licensing or regulatory authorities.

These procedures are mainly designed to detect instances of non-compliances with laws and regulations by an entity.

Reporting of identified or suspected Non-compliance (par 22-24)

a. The auditor is required to communicate with those charged with governance matters involving non-compliance with laws and regulations that came to the auditor's attention during the course of the audit.
b. If the auditor suspects that management or those charged with governance are involved in non-compliance, the auditor shall:
   (i) Communicate the matter to the next higher level of authority at the entity, if it exists, such as an audit committee or supervisory board; or
   (ii) Where no higher authority exists, or if the auditor believes that the communication may not be acted upon or is unsure as to the person to whom to report, the auditor shall consider the need to obtain legal advice.

Reporting Non-compliance in the auditor's report on the financial statements. (Par 25 – 27)

1.	If the auditor concludes that the non-compliance has a material effect on the financial statements, and has not been adequately reflected in the financial statements	The auditor shall, in accordance with ISA 705, express a qualified opinion or an adverse opinion on the financial statements.
2.	If the auditor is precluded by management or those charged with governance from obtaining sufficient appropriate audit evidence to evaluate whether non-compliance that may be material to the financial statements has, or is likely to have, occurred. **(Limitation of scope).**	the auditor shall express a qualified opinion or disclaim an opinion on the financial statements on the basis of a limitation on the scope of the audit in accordance with ISA 705

Reporting non-compliance to Regulatory and Enforcement Authorities.

Where required by law the auditor shall communicate identified or suspected non-compliance with laws and regulations. *For example, in terms of the Banking Act (Chapter 24:20), auditors of financial institutions are required to report to the RBZ an instances of non-compliances with laws and regulations identified when performing an audit of financial statements.*

ISA 260 (Revised): COMMUNICATION WITH THOSE CHARGED WITH GOVERNANCE

Introduction

Given the importance of effective two-way communication in an audit of financial statements, ISA 260 provides an overarching framework for the auditor's communication with those charged with governance and identifies specific matters to be communicated with them.

However cognizance must be taken of the fact that further matters, not required by this or other ISA's, may be required to be communicate by law or regulation, by agreement with the entity or applicable engagement, for example through agreement on matters to be communicated as agreed in the engagement letter.

Objectives of the auditors (par 9)

a) To communicate clearly with those charged with governance the responsibilities of the auditor in relation to the financial statement audit, and an overview of the planned scope and timing of the audit;
b) To obtain from those charged with governance information relevant to the audit;
c) To provide those charged with governance with timely observations arising from the audit that are significant and relevant to their responsibility to oversee the financial reporting process; and
d) To promote effective two-way communication between the auditor and those charged with governance.

Key Definitions (par 10)

Those charged with governance	Generally, refers to the person(s) or organization(s) (for example, a corporate trustee) with responsibility for overseeing the strategic direction of the entity and obligations related to the accountability of the entity. This includes overseeing the financial reporting process. For some entities in some jurisdictions, those charged with governance may include management personnel, for example, executive members of a governance board of a private or public sector entity, or an owner-manager.
Management	The person(s) with executive responsibility for the conduct of the entity's operations. For some entities in some jurisdictions, management includes some or all of those charged with governance, for example, executive members of a governance board, or an owner-manager.

Matters to be communicated to those charged with governance (par 14 – 17):

1.	The auditor's responsibilities in relation to the financial statements audit.	a) The auditor is responsible for forming and expressing an opinion on the financial statements that have been prepared by management with the oversight of those charged with governance; and b) The audit of the financial statements does not relieve management or those charged with governance of their responsibilities.
2.	Planned scope and timing of the audit.	The auditor shall communicate with those charged with governance an overview of the planned scope and timing of the audit, which includes communicating about the significant risks identified by the auditor.
3.	Significant findings from the Audit.	a) The auditor's views about significant qualitative aspects of the entity's accounting practices, including accounting policies, accounting estimates and financial statement disclosures; b) Significant difficulties, if any, encountered during the audit; c) Unless all of those charged with governance are involved in managing the entity: (i) Significant matters, if any, arising from the audit that were discussed, or subject to correspondence with management; and (ii) Written representations the auditor is requesting; d) Circumstances that affect the forms and content of the auditor's report if any; (for example if a qualified opinion is going to be issued) and e) Any other significant matters arising during the audit that, in the auditor's professional judgement, are relevant to the oversight of the financial reporting process.
4.	Auditor independence	For listed entities the auditor shall communicate a statement that the engagement team and others in the firm as appropriate, the firm and, when applicable, network firms have complied with relevant ethical requirements regarding independence.

The communication process (par 18 – 22)

Establishing the communication process	The auditor shall communicate with those charged with governance the form, timing and expected general content of communications
Forms of communication	The auditor shall communicate in writing with those charged with governance regarding significant findings from the audit if, in the auditor's professional judgment, oral communication would not be adequate. For audits of listed entities the auditor shall communicate in writing with those charged with governance regarding auditor independence
Timing of communications	The auditor shall communicate with those charged with governance on a **timely** basis.

QUESTION ON PLANNING – RISK ASSESSMENT

Question 1:

Aflink

Your audit firm, Saudit, a prominent, well-established firm of registered auditors based in Harare, has recently been appointed as the new auditor of Aflink Air Limited. ("Aflink"), a large passenger airline company operating within Africa. The company has a primary listing on the Zimbabwe Stock Exchange (ZSE) and a secondary listing on the Johannesburg Stock Exchange (JSE). You have been assigned to manage the Aflink audit for the financial year ended 30 April 2016.

Aflink changed auditors in mid-2015, shortly after the company received a clean (unmodified) 2015 audit opinion from Snoop Auditors, their auditors for the past 14 years. The move to your firm followed Aflink's Board of Directors' decision to appoint a larger and more experienced audit firm. This desire resulted from significant rapid growth of Aflink over the past 16 months, due to the company having acquired "Fly High Air", another passenger airline in the African aviation industry, during January 2015. At that date, Phillip Walters became the new Aflink CEO, having been in position of Financial Director of Aflink since the Company's incorporation 14 years ago. Walters has a reputation for excellence both within the company and the aviation industry.

You were engaged in planning the 2016 audit during February/March 2016. You plan on returning to Aflink on 1 May to begin your year-end procedures. As part of your audit planning, you have gained a detailed understanding of the entity and its environment; including its internal controls (*Some of the working papers in this regard have been provided*). Based on this understanding, you consider the company to be well-administered. Since Aflink operates a fully computerised accounting information system, IT experts within your firm were appointed to assist with the audit. Summarised findings from an interim audit they performed during February 2016, using CAATS (computer assisted audit techniques), were reported to you as follows:

"*A strong automated control environment used to record all sales, both telephonic and on-line, exists. Computer systems used to administer Aflink airline processes, including aircraft check-in and boarding, have also found to be operating adequately throughout the period we have tested. No significant deficiencies in the IT environment were identified.*"

Details of one of your first meetings held with Aflink management are provided below, in **WP A1/5, "Gaining an understanding of the entity":**

EXTRACTS FROM WORKING PAPERS

			A 1/5
AFLINK LIMITED	Prepared by:	B Drewmore	Date:	4/2/16
YEAR ENDED 30 April 2016	Reviewed by:	C Chapliz	Date:	7/2/16

Planning the Audit: Gaining an Understanding of the Client

An initial high-level planning meeting was held on 4 February 2016 with Aflink Ltd. management to obtain an overall understanding of the business. Those present included:

- *Mr Charlie Chapliz (Saudit Audit Partner)*
- *Mr Barry Drewmore (Saudit Audit Manager)*
- *Mr Phillip Walters (Aflink Ltd. CEO)*
- *Miss Leona Vigins (Aflink Ltd. Financial Director)*
- *Mr Vuyo Mtlane (Aflink Ltd. Financial Manager)*

Details ascertained at the meeting are summarised below:

The airline, which currently operates an average of approximately 100 flights per day to 47 destinations in 16 African countries, is committed to providing the highest level of safety, service and convenience to its travellers, to consistently deliver a superior, seamless travel experience.

Special privileges and rewards are offered for frequent flyers of Aflink, including earning and redeeming 'air mile' points across all flights. The airlines Dividend Miles program, "*Discover*", allow travellers to earn 'air mile' points for each flight that they purchase and they may then redeem (exchange) the points that they collect over time, for free Aflink flights or flight upgrades in the future.

2016 Financial Year

A significant upgrade to Aflink's website was made during November 2015, to allow travellers, even with limited internet knowledge, to conveniently and easily make use of the site. Although this advancement came at a very substantial cost, it was considered a crucial necessity which would ultimately result in significant cost savings due to reduced staff required at airport counters. In addition to searching for and booking air fares and award travel, customers are able to select their aircraft seats, book their meal of choice, obtain flight arrival and departure information, sign up for flight status notifications, as well as check-in and print their boarding passes. Customers who purchase tickets on the site, ***www.discovertheworld.com*** never pay an online booking fee and get a lowest price guarantee on all fares offered.

As a result of the successful introduction and usage of the upgraded website, Aflink found it necessary to take steps to reduce the number of airline 'check-in' staff at various airport counters throughout Africa. This resulted in the unfortunate retrenchment of 213 Aflink salaried employees. The termination was effective from 1st March 2016, after the company provided a 30-day notice period. Upon departure, a retrenchment package was provided to each employee.

Phillip Walters, quoting from the minutes of a recent Board of Directors meeting, advised:
"Our plans for the company for 2015 have been, and will continue to be, to focus on making this growing entity prosper, with particular emphasis on safety, operational integrity and customer service. The safety of our customers and employees remains the highest priority to the Board of Directors. Unfortunately, the highly regulated aviation industry is a challenging environment to operate in, especially in light of recent airline disasters. There is a need for continuous improvement and stringent training, aimed at equipping employees to prevent and react to all aviation threats.

We will also continue to take a closer look at how we can optimise our corporate responsibility, performance and disclosure. Over the past couple of years, Aflink has committed to environmental responsibility with fuel reduction programs having saved hundreds of thousands of gallons of fuel and reducing emissions by thousands of tons of CO2. We will continue to identify those issues considered most important to our stakeholders and coordinate systems to track data across our operations.

There's still a lot of work to do, but we're excited at the opportunity to continue to grow and improve, not only our financial, but our environmental and social performance".

Audit Matters

Before closing the meeting, Vuyo Mtlane advised that having been an audit manager himself at Saudit Inc. until June last year, he evidently has a good understanding of our audit requirements and will endeavour to assist wherever possible in ensuring that an efficient audit can be conducted. His only request was to please advise him as to who would be on our 2016 audit team, which Charlie Chapliz willingly did. Vuyo politely requested if we could please replace our audit senior, Patricia, since he was engaged to her for a brief time whilst working at Saudit and would thus feel very uncomfortable with his ex-fiancé on the audit team.

Required

A) Based on the information that was available to you whilst planning the audit (i.e. *before* financial year end) discuss the *nature, timing and extent* of the audit procedures that you would plan on performing for the 2016 audit of Aflink Ltd. **(25 marks)**

Solution

Nature

- Since the company is operating in the highly regulated Aviation industry in which there are stringent laws and regulations, we will need to ensure that:
    - We obtain a detailed understanding of the aviation industry and the risks to which the company is exposed as a result. 1
    - We focus testing on the regulations that may have a material effect on the financial statements – including provisions and disclosure. 1
    - We include details of the above in lawyers' confirmation letters used as part of our audit testing. 1
- Since the company is listed (on two stock exchanges) there is a possible risk of manipulation of financial statements in order to meet requirements and testing should thus focus on overstatement of revenue and assets and understatement of liabilities. 1
- Since this is the first year that we will be auditing the company, detection risk is increased as we are unfamiliar with the client and we thus need to address this by:
    - Performing detailed testing on opening balances and consistency of accounting policies. 1
    - Possibly displaying more professional skepticism. 1
- We will need to review the prior auditor's working papers or perform our own testing on opening balances should we not be able to rely on them. 1
- With significant growth rapid growth in the company in the past 16 months, focus needs to be on ensuring that controls and processes have been maintained and the control environment has not been negatively affected by the rapid growth. 1
- Since the current CEO has been at the company for many years and has an excellent reputation he appears to have adequate knowledge and experience for us to rely on some representations made by him. 1
- A controls based audit will need to be conducted due to the following:
    - It is definitely *possible* as management has allowed the IT experts to gain an understanding and the system appears fully automated. 1
    - It is absolutely *necessary* due to the nature and vast size of the operations. 1
    - It is also *necessary* due to the intensely automated environment that exists (this is evident as we needed to use the IT experts within our firm). 1
    - It is desirable as a strong automated environment has been identified from the interim testing. 1
    - The use of IT experts and CAATS has been considered and should be continued throughout the audit where necessary. 1

- Substantive testing will still need to be performed, especially in high risk areas. 1

- Substantive analytical procedures will be an effective form of testing due to the nature of the business –
    - ie. comparing costs such as fuel, airline meals etc. in comparison to number of flights/revenue. 1
- Focus should be made on the upgrade of the website costs, specifically being alert for non- compliance with IFRS in regard to research vs. development costs. 1

- Focus should also be made on amortisation of the website in regard to this upgrade, including application of an accounting policy, correct number of years etc. 1

- Detailed testing will need to be performed over the "Frequent Flyer" program due to the complex nature of recording the award that the customer is entitled to (provision). 1
- Testing will need to focus on completeness and accuracy of this provision amount. 1

- Testing will also need to focus on the redemption of the rewards and resultant reduction of the provision. 1

- Detailed focus will need to be made over the retrenchment packages which were paid out to the ex-employees 1

- Increased risk may have resulted in the 30-day notice period while employees worked their notice and professional skepticism during this period and increased testing may need to be performed. 1
- The retrenchment packages will need to be evaluated to confirm that they are in line with labour legislation as well as the employees' contracts and trade union requirements. 1
- The involvement of the entity's lawyer may be needed in regard to understanding all of the criteria. 1

- We will need to be alert for further provisions etc. which will need to be raised should some employees be taking the matter further ie. demanding a higher retrenchment package. 1
- We will need to ensure that the relevant sufficient disclosure has been provided in the 2015 financials in terms of the recent retrenchments. 1

Timing

- Timing of procedures – Interim testing was correctly performed (the IT department carried out testing). 1

- Roll forward testing will need to be carried out from the interim date (Feb) to year end to update controls testing. 1

- Since CAAT's is being used, ie. the timing of testing of year end controls testing may depend on management ie. will need to be agreed with them. 1

Extend:

- Since this is the first year that we will be auditing the company, detection risk is increased as we are unfamiliar with the client and we thus need to address this by:
    - Increasing the extent of our testing, i.e. increasing sample sizes. 1
    - Decreasing materiality and performance materiality. 1

(Possible 35, Max 25)

Question 2

Wose

You are the auditor of Wose Ltd (Wose), a company listed on the Zimbabwe Stock Exchange (ZSE). The company specialises in how the acoustic space influences sound and psychoacoustics, the science of how humans perceive sound. This is especially important in an automobile and every make of vehicle influences sound quality differently because each has a unique acoustic fingerprint, so all circuits are customized for a particular car manufacturer. The company designs its own digital signal processing and invents new testing and manufacturing techniques. Wose also installs an Audio Pilot noise compensation technology which "listens" for unwanted sounds that can adversely affect the acoustic environment, such as changing road surface, traffic or an open sunroof.

For the last 15 years, Wose has produced acoustic audio systems for supply to vehicle manufacturers in Zimbabwe. The company has two factories, one situated in Harare, and the other in Mutare. The company's head office is situated in Harare, from where its national sales distribution is controlled. The acoustic systems manufactured by the company are used in a limited range of passenger car models by the different car manufacturers. Bulk supply contracts are signed with Wose's major customers to provide the acoustic systems for the car manufacturers' vehicle assembly lines.

Following the completion of your audit of the financial statements for the year ended on 31 December 2014 in March 2015, your audit firm was asked during April 2015 to assist Wose with the planned implementation of its B2B supply chain.

The Wose directors are satisfied that the implementation of a new Oracle system, which is an integrated vendor solution and includes a B2B supply chain, will allow dealing on-line with the company's entire supply chain, from procurement of audio components through production to distribution of audio systems to motor manufacturers and settlement by them. The different modules in the Oracle system will accommodate everything from technical information, inventory procurement, production scheduling and costing, warehousing and distribution to customers, inventory records, payroll processing and all financial information arising from the business transactions.

The financial information will be generated by the Oracle system and allow Wose to consolidate its operational and financial information. Wose has used Sage Pastel accounting for many years for recording its financial information, which incorporates a simple general ledger, accounts payable and accounts receivable modules. A separate in-house developed software program was used for recording the detailed operational information such as production scheduling, production costing and inventory records. The payroll records and processing has been outsourced to a bureau for the last 18 years.

B2B for procurement of smaller supplies

The B2B module from the Oracle system will allow Wose to communicate orders to suppliers. The company already has an established EDI supply network with its five major suppliers of the large audio components, but has not been able to do this with the smaller suppliers. The majority of the numerous smaller components required in the manufacture of audio systems are supplied by small businesses situated in China, many of whom have an Internet website advertising their products. The directors decided not to use a value added network service because of the high risk of third party reliance. The directors believe that the procurement of these components could rather be done using B2B and intend extending their supplier chain once the B2B platform is operational. However, the EDI platform will remain for the five major suppliers and the intention is to use the B2B platform for all the company's smaller suppliers.

In terms of B2B, these suppliers will be able to define which products are listed on their B2B store and the displayed prices of the products (this is the same concept as for a normal e-commerce interface). Wose will not have to be burdened with emails and phone calls to suppliers requesting up-to-date information on inventory, but will simply login to the supplier B2B store to access the inventory listing of the supplier and then place the order using its own internal purchasing module, which will release a purchase order. The B2B technology will collect the purchase order from Wose's internal purchasing module, which will then be sent to an application interface program which will translate the order into a standardised format using XML. The purchase order is then sent to the supplier using the transmission tools built into the B2B infrastructure via the internet. A functional acknowledgement will be sent by the supplier via the same transmission tools indicating that Wose's purchase order has been received. Thereafter, the supplier will use the B2B system to generate a delivery note and dispatch the inventory to Wose. When Wose receives the inventory, the warehouse manager at Wose will retrieve the delivery note message from the B2B system and confirm the quantities received to both the order placed on the B2B system and the system delivery note generated by the supplier. The warehouse manager will then add the date and quantities of inventory inspected to the message which will generate a goods received note for Wose. The generation of the goods received note on the B2B system indicates acceptance of the inventory by Wose. This in turn sends a message to the supplier prompting the generation of a supplier invoice. The B2B system from the supplier side will, before generating the invoice, match the initial order received by Wose with the delivery note and goods received note messages generated by the B2B system. Once the invoice is received by Wose, the B2B system pre-populates the details of the invoice in Wose's EFT module, to be released on payment date (one week after receipt of invoice). Wose intends to offer the suppliers using B2B settlement by means of Electronic Funds Transfers (EFT), within one week of receipt of invoice, rather than the present 30-day settlement period. If Wose ceases to trade with the

supplier in terms of the B2B network, Wose's access to the supplier's inventory listing will be revoked by the supplier.

The directors plan to run live with the B2B procurement with suppliers by the end of April 2015. The company expects that approximately 40% of their total purchases will be effected through B2B by the end of the 2015 financial year. The directors anticipate that they will achieve considerable cost savings with the implementation of B2B procurements and that the company's cash flows will be improved, due to the procurement of purchases enabled by the use of the B2B platform.

In preparation of the implementation of the Oracle system including the B2B procurement module, Wose converted the information in its general ledger, accounts payable, accounts receivable, operational and payroll systems to Oracle on 1 April 2015.

Conversion of financial information to the Oracle system

Wose's financial director assures you that great care was taken to ensure a correct cut-off was achieved on conversion to the Oracle system and that he is sure the integrity of all relevant financial information has been maintained. The data take-on to Oracle occurred on 1 April 2015.

Since Oracle has an extensive integrated database with many more fields than the Pastel package, it was not possible to convert the general ledger, accounts payable and accounts receivable modules automatically into Oracle. New ledger accounts had to be structured for the take-on of existing data on 1 April 2015 and, therefore, the Pastel information as at that date was downloaded to a spread sheet to map the old balances and split these into the new ledger account structure in Oracle. Staff involved analysed the existing accounts and allocated the relevant transactions and balances to the new ledger accounts. Thereafter, the information in the spread sheet was uploaded into Oracle and the Pastel package was abandoned on 1 April 2015.

When the payroll bureau found out that they would no longer be handling the payroll processing, they became uncooperative and unwilling to incur further expense and merely provided a printout of the latest employee master-file information held in their records as at 1 April 2015. These details were then captured manually into Oracle on 1 April 2015.

The operational information was captured from the in-house developed operations system onto a spread sheet and, as with the Pastel conversion, was mapped into the new format before being uploaded into Oracle on 1 April 2015. This included, inter-alia, detailed inventory and production scheduling, and technical and statistical information. All other start-up data

for new fields, not contained in the previous three sources, was ascertained by the IT Project team and captured manually into Oracle.

Required

a) Discuss the impact of the implementation of the B2B system on the nature, timing and extent of the audit procedures, as well as the resources required for the audit of Wose Ltd for the year ended 31 December 2015. **(15 marks)**

b) Advise the IT and Risk Committee of Wose Ltd of the key business risks resulting from the implementation of the B2B platform for their procurement **and** provide recommendations on how to address these risks. **(10 marks)**

Wits CTA Test 2 2015 Adapted

Solution

A.

One mark for every point

Resources

1. We will need to use IT specialists to review and document application controls. Existing audit programmes will need to be amended in order to take account of all the new changes.

2. We will need to increase audit fee budget for involvement of firm's IT specialists to assist in this year's audit and additional audit procedures arising from implementation of new system, as well as to take cognizance of the new audit programme.

3. We will need IT specialist to assist with any issues relating to the new procurement platform.

4. The audit team must include the required level of IT knowledge in order to assist on the audit of Wose.

Nature of Audit procedures

5. There are two systems in operation for the year – this will affect the decision on whether to test controls versus substantive auditing decision and that the audit will need to cover both systems to obtain better assurance.

6. The take-on process is largely manual – depending on the results of our audit of the take-on data we may not be able to place reliance on new system for any balances, therefore we will have to do more substantive testing.

7. We will need to plan for more CAAT's type work as a result of data take-on and the fact that much of the information is now in electronic format and transactions are generated electronically by the Oracle system.

8. It is necessary to do some form of controls testing due to the extensive use of IT and automated processes.

9. We will have to use IT specialists to review, understand and document general control environment changes with implementation of Oracle –

10. We will need to review general controls if we plan to rely on Oracle financials and operating results, i.e. before we test application controls.

11. If appropriate controls are identified, we will need to perform some tests of controls over transactions during the period 1 April 2015 – 31 December 2015. If not, additional substantive procedures will need to be performed to obtain evidence of completeness, occurrence, accuracy and valuation of main income and expenditure transaction streams.

12. Due to the lack of a clear audit trail, we may need to test 'through the computer.'

13. We will have to extend the audit deadline as nature and extent of audit work may change, particularly if uncorrected errors are detected during the review phase in the data take-on or in system generated calculations subsequent to 1 April 2015.

14. We will have to perform detail analytics before and after conversion date to give assurance on the credibility of the change over to the new system.

15. Due to the increased risk of fraud on conversion to the new system, unpredictability in audit testing may need to be applied.

16. We will have to extend substantive verification procedures for establishing existence of assets and obligations at year end. Depending on results of tests of controls and transactions for the period 1 April to 31 December 2015.

17. We will have to agree amounts of all balances to details and balances in general ledger, Accounts Receivable and Accounts Payable ledgers, Inventory records and Fixed Asset Registers to confirm that all balances are correct on the new system.

18. Additional procedures must be carried out to verify that accounting policies have been applied consistently especially in respect of accuracy and valuation in line with IFRS as Oracle calculates year-end balances and transactions differently and has a far more comprehensive database to draw from than which was available in previous years.

19. In this regard, additional focus will need to be on areas such as:

- Inventory of raw materials, work-in-progress and finished audio systems
- fixed assets and calculations for impairment of assets
- accounts receivable ageing and impairment provisions for irrecoverable accounts
- long term loans
- accounts payable, payroll and other accruals

20. We will use CAATs more extensively to perform accuracy and valuation tests for each of these areas.

21. We will perform procedures to verify rights and obligations and fewer procedures on presentation and disclosure as these will not change significantly.

Timing

22. We will perform most of the audit work during the data migration to confirm that balances were correctly taken on, this will be during the month of April.

23. Testing of the system throughout the remainder of the year will also need to be performed to ensure that the system operated effectively for the period.

Extent

24. As a result of the higher risk with regards to the new procurement systems:

- Materiality over accounts payable will need to be lower,

- Thereby increasing sample sizes

25. CAAT's can be used to increase sample sizes and dummy data may be used.

B.

One mark for every point

Business risk explained to Risk committee as well as the recommendations to address the risk.

1. The risk is that the process in not properly understood by staff and suppliers which may lead to break down in existing controls over purchases, leading to loss of profits.

2. The risk that the system does not meet user requirements due to possible lack of feasibility performed.

3. The risk of system downtime (possibly due to power outages etc.) and loss of orders as a result.

4. The risk that the very high costs of implementation do not outweigh the benefits, i.e. the system does not meet user requirements.

5. There are serious implications in running a dual procurement function that is B2B and EDI; this could create difficulties with inventory supply situation.

6. There will be difficulties in identifying who is transacting in terms of the supply chain, and where the transacting is occurring and whether the quality of the goods purchased will be as anticipated.

7. There could be issues related to security of data transmissions, which could lead to errors in transfer of data, and incorrect recording of transactions.

8. There could be risk of security breaches, loss of confidential information, and possible corruption of integrated database on Oracle.

9. There is also a risk of incorrect payments, as payment to creditors will now be done via EFT on invoice rather than on the basis of monthly reconciliation to statement and remittance advice.

10. B2B supply will change the cash flow of the company because of the new settlement agreement with suppliers, which is settlement on invoiced delivery within 1 week of acceptance of delivery instead of the former 30 days credit, can the company's cash flow sustain this.

Recommendations

1. The company should consider setting up a pilot project with a limited number of suppliers using the B2B system until all aspects and implications are fully understood and operational.

2. The company should consider appointing different staff in the accounting department dedicated to handling the B2B purchases and settlements from those handling the conventional purchases and monthly payments to suppliers.

3. The company should only deal with approved suppliers and have proper agreements in place to specify legal jurisdiction applicable especially with regards to the Chinese suppliers, should any disputes arise.

4. Physical access to B2B transactions must be logged and monitored via firewalls, and the company must implement virus protection to limit risk of data corruption / or data encryption should be used for data.

5. Access to be strictly controlled by a database or security administrator with specific access profiles and passwords limiting access for staff to particular areas of the database for procurement purposes only.

6. There should be business continuity plans in place – i.e. a back-up system in place (maybe generators for power failures).

7. There will be difficulty when purchasing from China, that is, if the transaction is not completed properly, what legal recourse does the company have?

8. Strict programmed controls over master file information such as supplier banking account names and numbers to be implemented with a confirmation of receipt of payment and more senior level of authorization of any master file changes.

9. Wose should consider the need to factor in the initial development cost of the implementation of the Oracle system.